VB STRATEGIES

VB Europe Strategic

Model Portfolio · Investment Policy Statement

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VB Europe Strategic is a model portfolio of European companies that serve the continent's push for economic and strategic self-sufficiency. Fundamental analysis decides which companies enter; statistical portfolio optimisation decides how much each one weighs.

1. Purpose and project scope

The project designs, tests and, if successful, runs a European equity strategy end to end, from backtest to closure and review.

- **Purpose:** apply portfolio management theory in a documented, verifiable way and test whether a structured European strategy beats its benchmark after costs.
- **Approach:** a hybrid of fundamental analysis (what to own) and statistical optimisation (how much to own). The balance between the two is evaluated during the backtest for both the listed equity portfolio and the private equity sleeve.
- **Commitment of capital:** own capital is committed only if the backtest supports the strategy.

Stage	What happens	Condition to proceed
1. Design	This statement, version 1.0	Statement complete
2. Backtest	Universe rules and weighting method tested on historical data	Excess return over the benchmark after costs
3. Paper portfolio	Live tracking under all rules, no capital	Six months of tracking
4. Real capital	CHF 1,000 under the same rules	Paper results consistent with the backtest
5. Closure and review	Final performance report and written reflection	End of the project horizon or a decision to stop

2. Investment thesis

Europe is entering a decade of forced investment after years of stagnation, and the companies that supply that investment should grow faster than the European market as a whole.

The problem. The Draghi report (9 September 2024) traced Europe's slower growth to a widening productivity gap with the United States, weak commercialisation of innovation, high energy costs and reliance on other regions for defence, technology and critical inputs. European equity markets have reflected this, with few new global leaders emerging over the past two decades.

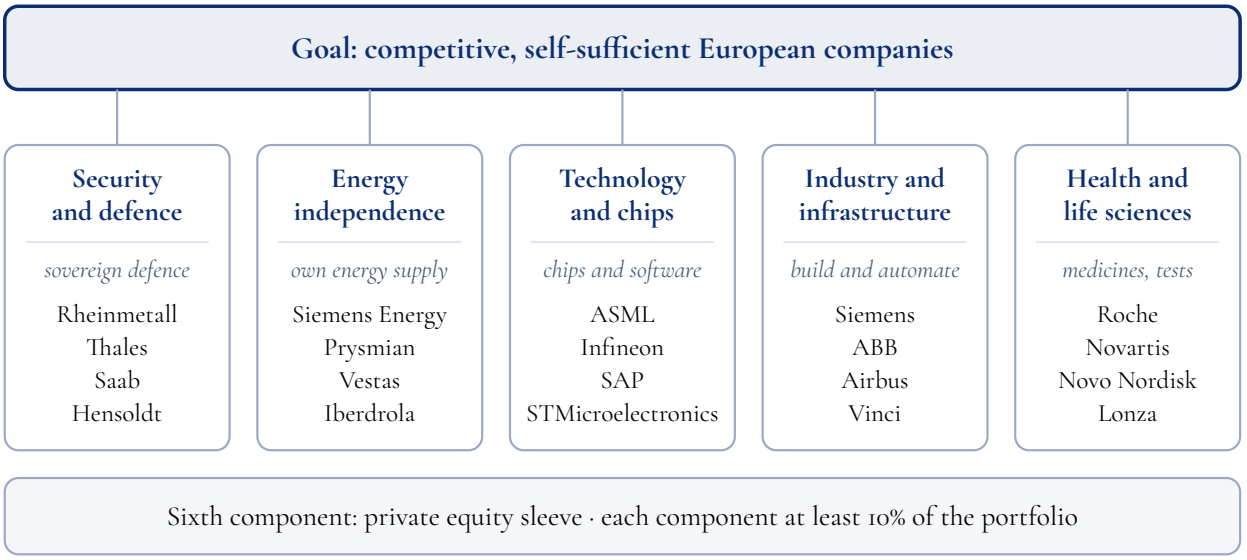
The catalyst. Two commitments turn the problem into spending. Draghi called for €750–800 billion of additional investment a year, up to 5% of EU GDP. At the Hague summit in June 2025, NATO members

committed to 5% of GDP on defence and security by 2035: at least 3.5% core defence and up to 1.5% resilience and infrastructure.

The opportunity. Spending of this size creates demand that European suppliers are best placed to win, both for political reasons (preference for European sourcing) and practical ones (proximity, security of supply). The strategy looks for the companies that convert that demand into lasting earnings growth: today's leaders and the smaller firms that can become the next ones.

The strategy is built from six components: five sector pillars and a private equity sleeve that reaches companies not yet listed.

Five pillars carry Europe's push for self-sufficiency



Thesis pillars. Example companies to research, not recommendations.

Component	Why Europe must build it	What the strategy looks for
Security and defence	Rearmament under the NATO commitment; dependence on non-European suppliers	Order backlog, production capacity, European content
Energy independence	Exposure to imported fuels and high power prices	Grids, cables, generation equipment, storage
Technology and chips	Dependence on US software and Asian chip supply	Critical positions in semiconductor, software and data supply chains
Industry and infrastructure	Underinvestment and an ageing asset base	Automation, electrification, construction and aerospace leaders
Health and life sciences	A growth industry where Europe already leads globally	Innovation pipelines, diagnostics, manufacturing capacity
Private equity sleeve	Many future leaders are not yet listed	Listed private equity managers and investment companies, ELTIFs

What would prove the thesis wrong: spending is delayed or cut, contracts flow to non-European suppliers, or prices already reflect the growth. The benchmark in section 3 is there to detect the last case.

3. Objective and benchmark

The goal is to beat the MSCI Europe ex UK Net Return index over rolling three-year periods after costs, accepting higher risk than the benchmark.

Measure	Target
Benchmark	MSCI Europe ex UK Net Return (EUR), matching the universe without the UK
Excess return	+2% a year over rolling three years, after costs
Risk tolerance	Above the benchmark; a volatility ceiling is set during the backtest
Horizon	3–5 years per position

The higher risk tolerance is a deliberate choice. The strategy searches for the next growth drivers of a stagnating economy, so it holds smaller and more concentrated positions than the index. A broad benchmark keeps the test honest: a thematic portfolio can rise simply because the market rose, and only outperforming the whole of Europe shows the strategy adds value.

Base currency is EUR. Holdings in CHF, SEK, NOK and other currencies are measured in EUR, so currency effects are part of the result.

4. Investment universe

The universe is European companies, listed or private, whose main business serves one of the five pillars.

- **Geography:** EU and EEA (incl. Liechtenstein), Switzerland and Norway. The UK is excluded. Headquarters and most assets in Europe.
- **Listed equities:** large, mid and small caps on European exchanges, minimum market capitalisation €250 million. Smaller companies are included on purpose: the next European leaders are more likely to be found there, as the growth of US small caps into large caps has shown.
- **Liquidity:** every position must be tradable in full within a few days without moving the price; this limits the smallest names to small weights.
- **Private equity sleeve:** exposure through listed private equity managers and investment companies (for example EQT, Partners Group, 3i, CVC, Investor AB), valued on earnings or on discount to net asset value, and through European Long-Term Investment Funds (ELTIFs), open to retail investors since 2024. A watchlist of private start-ups and scale-ups in the pillars is tracked on paper.
- **Status of the private equity sleeve:** the approach is under test. Until capital is committed it runs on paper; once capital is available, the same strategy applies to it as to listed equities.
- **Excluded:** companies whose core business conflicts with the thesis, and any company for which a one-page thesis cannot be written.

Company names in this statement are examples for research, not recommendations. Each must pass the process in section 5.

5. Selection process: from Europe to a portfolio

Selection runs as a funnel: the first four steps are fundamental and decide what enters the portfolio; the fifth is statistical and decides the weights.

1. **Region:** the European universe defined in section 4.
2. **Sectors:** top-down analysis of each pillar (growth drivers, competition, regulation), written as the sector part of the equity research report.
3. **Companies:** firms with clear added value in their pillar, each with a one-page thesis and then a full equity research report (business, financials, management, risks).
4. **Intrinsic value:** valuation with the method that fits the business (discounted cash flow, dividend discount, residual income, sum of the parts, or discount to net asset value for private equity), cross-checked against trading comparables.
5. **Portfolio construction:** statistical weighting of the selected companies (section 6).
6. **Decision log:** buy, watch or reject, with date, price, reasoning and expected holding period.

Tools: valuation models in Excel; statistical analysis and optimisation in R (RStudio).

6. Portfolio construction

Weights come from statistical optimisation, not from equal weighting, so that companies which move together share one risk budget and the portfolio is diversified by behaviour, not just by name.

Method

- **Risk inputs:** a covariance matrix of the selected companies, estimated from three to five years of weekly returns and shrunk toward a structured target (Ledoit–Wolf) to reduce estimation noise.
- **Return inputs:** expected returns from the strategy's own valuations (upside to intrinsic value), blended with market-implied returns using the Black–Litterman model, so that fundamental views and statistics meet in one framework.
- **Objective:** maximise expected return subject to a volatility ceiling set during the backtest. Minimum variance and maximum Sharpe ratio portfolios are calculated alongside for comparison.
- **Baseline:** every optimised portfolio is compared with an equal-weighted one, which is hard to beat out of sample (DeMiguel, Garlappi and Uppal, 2009). If optimisation does not beat it in the backtest, equal weighting is used.

Constraints

Rule	Limit
Number of positions	No fixed number; limited by what can be researched and monitored
Single position	10% at most; positions under 1% are not held
Each of the six components	10% at least, no maximum
Single country	35% at most
Cash	0–10%
Rebalancing	Quarterly, or when a constraint is breached

The component minimums keep the portfolio spread across the thesis while leaving room for conviction: one component can reach 50% when the other five hold their minimum.

7. Risk management and sell discipline

Risk is managed through diversification by behaviour, valuation discipline and mandatory reviews, not through fixed limits on market exposure.

- **Market exposure:** no limit on portfolio beta. Beta and other factor exposures are measured and reported each quarter.
- **Valuation discipline:** a company is bought below its estimated intrinsic value. A purchase above it is allowed only with a separate written thesis explaining why the price can still be exceeded, attached as an appendix to the equity research report.
- **Review triggers:** a fall of 20% from purchase price, or underperformance of the benchmark by 15 percentage points over three months, triggers a mandatory review of the thesis within two weeks. The review ends in a decision to hold, add or sell; there is no automatic sale.
- **Sell triggers**, written down at purchase:
  - the price reaches intrinsic value and the thesis offers no further upside;
  - the thesis breaks (lost contract, failed product, policy reversal);
  - a clearly better opportunity needs the capital;
  - a constraint in section 6 is breached.

Every review and sale is recorded in the decision log.

8. Measurement and review

Performance is measured quarterly against the benchmark and published in a short quarterly report.

- **Return:** total return against the benchmark, after costs.
- **Risk-adjusted return:** Sharpe ratio, and Jensen's alpha with beta from the CAPM.
- **Attribution:** contribution of each of the six components to the result.

The set of metrics and this statement are reviewed once a year, or earlier if results call for it. Every change is dated and explained.

9. Implementation

Capital is committed in the stages set out in section 1, and real capital follows exactly the same rules as the paper portfolio.

- **Real capital:** CHF 1,000, held at Interactive Brokers.
- **Paper and real side by side:** both portfolios are tracked in parallel; any gap between them is attributed to execution and behaviour, not to the strategy.
- **Behavioural log:** at every decision the log records the confidence level (1–10), any wish to break a rule and whether it was acted on, holding periods of losing and winning positions (disposition effect), and whether news prompted the trade.
- **Personal trading:** if the author takes a position in the financial industry, the employer's rules on personal trading take precedence over this statement.

Appendix: Publishing and compliance

The portfolio is published for education. These rules keep that publication within the law and make clear it is not advice.

- **Name:** described as a model portfolio, never as a fund. A fund is a regulated term in Switzerland and Liechtenstein.
- **Disclaimer:** every publication states "Illustrative research, not investment advice."
- **Own positions:** disclosed in any publication about a company held with real capital.
- **Facts and opinions:** kept clearly separate. Under EU market abuse rules, which apply in the EEA, public views on specific stocks can count as investment recommendations with presentation and disclosure duties.
- **Results:** losses and mistakes are published with the same care as gains.

Illustrative research, not investment advice. VB Europe Strategic is a model portfolio published for education, not a fund.